

Inflation is down. RBI has room to cut rates

Data released by the National Statistics Office on Wednesday **showed** that retail inflation has continued to **moderate**, now falling below the RBI's target of 4 per cent. **Inflation**, as measured by the consumer price index, **declined** to a seven-month low of 3.61 per cent in February. Retail inflation has now averaged 3.9 per cent in the quarter **so far** (January-February). Analysts expect inflation for the entire quarter (January-March) to remain well below the RBI's most recent **forecast** of 4.4 per cent. This data is the last print available to the RBI's **monetary policy committee** before its next meeting scheduled in April.

Much of the decline in **headline inflation** **has** been **driven** by **softening** food prices. The consumer food price index has fallen to 3.75 per cent in February, from 5.97 per cent in January. Food inflation stood at 10.87 per cent in October last year. **Vegetables**, which have been a key **driver** of food inflation in the past, **have witnessed** a **steep** correction in recent months. In fact, vegetables slipped into **deflation** at -1.07 per cent in February. Price pressures, however, remained **elevated** in categories such as oils and fats, fruit and cereals. But with March this year not witnessing a heatwave so far, it suggests that a **repeat** of the **adverse** conditions last year **is** unlikely. This **bodes well** for food production. **Alongside**, **core inflation** also remains **subdued**. Price pressures were **muted** across most segments such as education and health, transport and communication, **recreation** and **amusement** — the only exception was the personal care segment. **Higher inflation** in this segment **has** been **attributed** to higher raw material prices by some analysts.

In its last meeting in February, the MPC had voted **unanimously** to lower the policy **repo rate** by 25 **basis points** to 6.25 per cent. The latest inflation data will only increase **the odds** of the MPC cutting rates when it meets next. Alongside, further easing of liquidity conditions will **aid** in the **transmission** of the rate cuts. The question, now, is: To what extent can the MPC cut rates further to support economic activity? As per the RBI's most recent forecast, inflation has been **pegged** at 4.2 per cent in 2025-26, with the first half at 4.25 per cent and the second half at 4 per cent. At current levels, this translates to a real interest rate of around 2 per cent. Former members of the MPC have in the past argued that a real interest rate of 1-1.5 per cent is enough to achieve the central bank's inflation target. This implies that there is **space** for deeper cuts. While global factors may also play a role, to what extent policy is eased further will depend on how the inflation-growth **dynamic evolves**.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

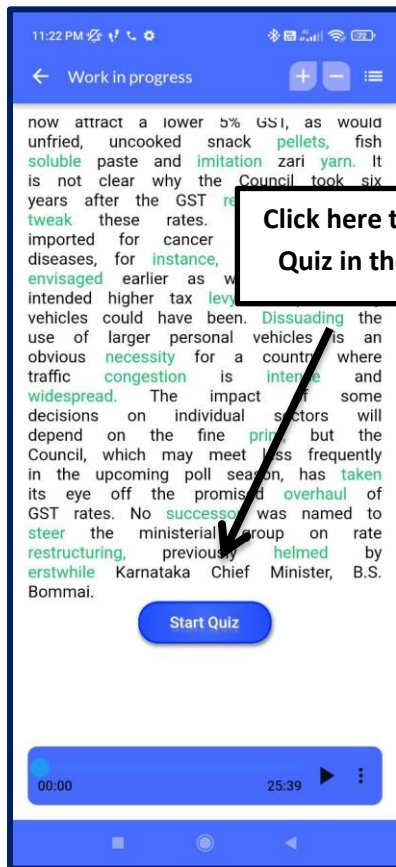
1. **Room** (noun) – Space, Scope, Opportunity, Margin, Leeway गुंजाइश
2. **Moderate** (verb) – Reduce, Decrease, Lessen, Diminish, Ease कम करना
3. **Inflation** (noun) – Price rise, Cost increase, Economic inflation, Escalation, Surge मुद्रास्फीति
4. **So far** (phrase) – Until now, Up to this point, Thus far, To date, Heretofore अब तक
5. **Forecast** (noun) – Prediction, Projection, Estimate, Outlook, Prognosis पूर्वानुमान
6. **Monetary policy committee** (noun) – a six-member committee, constituted by the Indian government under the Reserve Bank of India Act, 1934, responsible for determining the policy interest rate (repo rate) to achieve the inflation target मौद्रिक नीति समिति
7. **Headline inflation** (noun) – the overall measure of inflation within an economy, encompassing all goods and services, including volatile sectors like food and energy, as measured by the Consumer Price Index (CPI)
8. **Drive** (verb) – Propel, Push, Influence, Spur, Motivate प्रेरित करना
9. **Soften** (verb) – Ease, Reduce, Weaken, Moderate, Alleviate कम करना
10. **Driver** (noun) – Catalyst, Factor, Cause, Contributor, Influence कारक
11. **Witness** (verb) – Observe, Experience, See, Undergo, Encounter अनुभव करना
12. **Steep** (adjective) – Sharp, Sudden, Drastic, Rapid, Precipitous तेज
13. **Deflation** (noun) – reduction of the general level of prices in an economy. अपस्फीति
14. **Elevated** (adjective) – High, Increased, Raised, Heightened, Escalated बढ़ा हुआ
15. **Adverse** (adjective) – Unfavorable, Harmful, Negative, Detrimental, Hostile प्रतिकूल
16. **Bode well** (phrase) – Indicate positively, Suggest favorably, Promise well, Signal good, Foretell success अच्छा संकेत देना
17. **Alongside** (adverb) – Simultaneously, Together, Concurrently, Side by side, In parallel साथ-साथ
18. **Core inflation** (noun) – a measure of the underlying trend of inflation in an economy, calculated by excluding volatile items like food and energy prices from the overall inflation rate मूल मुद्रास्फीति
19. **Subdued** (adjective) – Low, Moderate, Muted, Restrained, Controlled कमजोर

20. **Muted** (adjective) – Softened, Dampened, Subdued, Tempered, Restrained मंद
21. **Recreation** (noun) – Leisure, Entertainment, Amusement, Relaxation, Pastime मनोरंजन
22. **Amusement** (noun) – Entertainment, Enjoyment, Fun, Pleasure, Recreation आनंद
23. **Attributed** (to) (adjective) – Credited, Assigned, Linked, Ascribed, Connected जिम्मेदार ठहराया गया
24. **Unanimously** (adverb) – Consensually, Agreed, Without opposition, Collectively, Harmoniously सर्वसम्मति से
25. **Repo rate** (noun) – the interest rate at which the Reserve Bank of India (RBI) loans money to commercial banks
26. **Basis point** (noun) – 100 basis point = 1%
27. **The odds** (noun) – Probability, Likelihood, Chances, Possibility, Prospects संभावना
28. **Aid** (verb) – Assist, Help, Support, Facilitate, Boost सहायता करना
29. **Transmission** (noun) – Transfer, Conveyance, Spread, Flow, Diffusion संचरण
30. **Peg** (verb) – Fix, Set, Anchor, Stabilize, Lock स्थिर करना
31. **Dynamic** (noun) – Interaction, Relationship, Process, Mechanism, Evolution गतिशीलता
32. **Evolve** (verb) – Develop, Progress, Advance, Transform, Grow विकसित होना

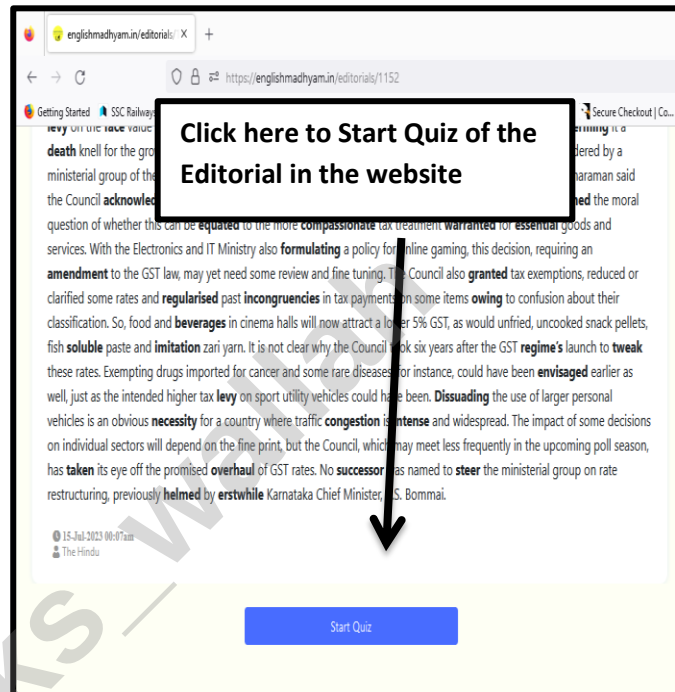
Summary of the Editorial

1. Retail inflation in India has moderated, falling below the RBI's target of 4%, reaching a seven-month low of 3.61% in February.
2. Inflation averaged 3.9% in the January-February quarter, with expectations for the entire quarter to remain below the RBI's forecast of 4.4%.
3. The decline in headline inflation is largely driven by softening food prices, with the consumer food price index dropping to 3.75% in February.
4. Vegetable prices, previously a key driver of food inflation, have seen a steep correction, slipping into deflation at -1.07% in February.
5. Price pressures remain elevated in categories like oils and fats, fruit, and cereals, but overall food inflation has significantly eased.
6. The absence of a heatwave in March 2023 suggests favorable conditions for food production, reducing risks of adverse supply shocks.
7. Core inflation remains subdued, with muted price pressures in education, health, transport, communication, and recreation, except for the personal care segment.
8. Higher inflation in the personal care segment is attributed to increased raw material costs.
9. In its February meeting, the RBI's Monetary Policy Committee (MPC) unanimously cut the repo rate by 25 basis points to 6.25%.
10. The latest inflation data increases the likelihood of further rate cuts in the MPC's upcoming April meeting.
11. Easing liquidity conditions are expected to aid the transmission of rate cuts to the broader economy.
12. The RBI's inflation forecast for 2025-26 is 4.2%, with the first half at 4.25% and the second half at 4%.
13. Current real interest rates are around 2%, but former MPC members suggest 1-1.5% is sufficient to meet inflation targets, indicating room for deeper cuts.
14. The extent of further rate cuts will depend on the evolving inflation-growth dynamic and global economic factors.
15. The RBI has the flexibility to support economic activity through additional monetary policy easing, given the subdued inflation outlook.

Practice Exercise: Banking Pattern Based



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